

LIVE

Learning Space

NEWSPAPER

5th March, 2018

ITEM WISE EDITORIALS

10th WEEK



GREY LIST, FATF & PAKISTAN

UPSC CSE – GS III

GS III... LINKAGES OF ORGANIZED CRIME WITH TERRORISM.

3

Going grey

Will being put on the watch list force Pakistan to withdraw state support to terror groups?

The Financial Action Task Force (FATF) that monitors countries on action taken against terror-financing and money-laundering has decided to place Pakistan back on its watch list, or "greylist", from June. The decision is both appropriate and overdue, given Pakistan's blatant violation of its obligations to crack down on groups banned by the Security Council 1267 sanctions committee that monitors groups affiliated to the Taliban (which originally included al-Qaeda affiliated groups), such as the Lashkar-e-Taiba, Jaish-e-Mohammed and the Haqqani network. Their leaders like Hafiz Saeed and Masood Azhar continue to hold public rallies and freely garner support and donations. In the process, both the LeT and JeM, which continue to praise and claim credit for terror attacks in India, have grown their bases in Pakistan, with fortress-like headquarters in Muridke and Bahawalpur that the authorities turn a blind eye to. By doing this, successive Pakistani governments have jeopardised ties with India, and shown disregard for the outcry against terrorism worldwide. One violation was a Pakistani court's bail to Zakir-Rehman Lakhvi, LeT operational commander and a key planner of the November 2008 Mumbai terror attacks. Under the 1267 sanctions ruling, banned entities can get no funds, yet Lakhvi received the full amount, and the authorities have since lost track of him.

It is surprising, then, that the first round of talks of the International Cooperation Review Group that makes its recommendations to the FATF plenary failed to reach the consensus needed to list Pakistan, despite a formidable team of the U.S., U.K., France and Germany proposing the resolution against it. That the initial support for Pakistan came from China, Saudi Arabia, Turkey and the Gulf Cooperation Council countries is cause for concern in New Delhi, given the recent diplomatic outreach by India. Equally significant, however, is China's turnaround in the plenary session two days later, when it dropped objections to the resolution, indicating that its support for Pakistan is negotiable and not set in stone. The FATF listing will not miraculously change Pakistan's behaviour, and this is not the first time it has been listed as a country with "strategic deficiencies" in countering terror-financing and money-laundering. However, if the greylisting comes as part of a concerted campaign to hold Pakistan accountable, and pressure is ratcheted up with financial strictures on its banks and businesses and targeted sanctions imposed against specific law enforcement and intelligence officials, it may yet bear fruit. The hope is that such sanctions will persuade Pakistan to stop state support for these terror groups and become a responsible player on the global stage and a responsive neighbour.

THE HINDU
INDIA'S NATIONAL NEWSPAPER SINCE 1878

28th February, 2018

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NEWS REPORT

Financial Action Task Force (FATF) put Pakistan in the 'Grey list' for failing to fulfil obligations to prevent terror financing.



Downgrade by multilateral lenders such as IMF, World Bank, ADB and also a reduction in risk rating by Moody's, S&P, Fitch may be possible.



SALIENT POINTS

- FATF maintains grey and black lists for identifying the countries that have weak measures to counter and combat money laundering and terrorist financing.
- It does not have the authority or power to impose sanctions on a country found non-compliant with the required standards.
- But, a country's listing can have an impact on its international transactions as it would come under greater scrutiny.

WHAT IS FINANCIAL ACTION TASK FORCE (FATF)?

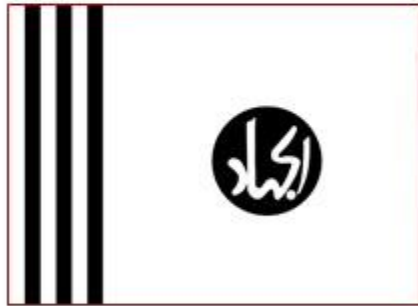


- It is an inter-governmental body, established in 1989.
- India is also a member.
- The objectives are to set standards and promote effective implementation of legal, regulatory and operational measures for combating money laundering, terrorist financing etc.
- It is a policy making body and works to generate the necessary political will to bring about legislative and regulatory reforms.

It does not have the authority or power to impose sanctions on a country found non-compliant.



LeT



JeM

WHY PAKISTAN IS KEPT UNDER GREY LIST?

- 1 Pakistan blatantly violated its obligations to crack down on groups banned by Security Council 1267 Sanctions Committee.
- 2 This Committee monitors groups affiliated to Taliban (which originally included Al-Qaeda affiliated groups) such as Lashkar-e-Taiba, Jaish-e-Mohammed and the Haqqani network.



HAFIZ SAEED
Leader, LeT



MASOOD AZHAR
Leader, JeM

WHY PAKISTAN IS KEPT UNDER GREY LIST?

- 3 LeT & JeM leaders like Hafiz Saeed and Masood Azhar continue to hold public rallies. They are freely garnering support and donations.
- 4 In the process, both LeT and JeM, which continue to praise and claim credit for terror attacks in India, have grown their bases in Pakistan

Under the 1267 Sanctions Ruling, banned entities can get no funds, but Zaki-ur-Rehman Lakhvi, LeT Operational Commander and Key Planner of November 2008, Mumbai Terror attacks received the bail amount and the authorities have since lost track of him.



Financial Action Task Force



If Islamabad fails to comply with the rules of the grey list and an action plan is not adopted, then the country runs the risk of being included on to the blacklist of the FATF that currently features Iran and North Korea.

WHAT IS THE PROCEDURE?

- 1 It is based on the recommendations of International Cooperation Review Group.
- 2 The important point is, it failed to reach the consensus needed to list Pakistan in the first round of talks, as initial support to Pakistan came from China, Saudi Arabia, Turkey and GCC countries.
- 3 However, after two days, China dropped objections to the resolution. One positive aspect is China stated that its support for Pakistan is negotiable and not set in stone.

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